TABLE 3. Bank-level trust bias and probability of sovereign exposure in foreign target countries with no branch connections.

Outcome →	(1) Sovereign exposure	(2) Sovereign exposure	(3) Sovereign exposure
Bank-level trust bias	1.230***	2.026***	1.972***
	[0.240]	[0.660]	[0.734]
Bank × time FEs	Yes	Yes	Yes
Target-country × time FEs	Yes	Yes	No
Home-country × target-country FEs	No	Yes	No
Home-country × target-country × time FEs	No	No	Yes
Sample included	Foreign + no branch	Foreign + no branch	Foreign + no branch
Observations	18,984	18,984	16,728

Notes: The table summarizes the results of equation (1) estimated over the full sample period from 2010-Q1 to 2021-Q2; but only for the bank–target country pairs in which the bank does not own any branches in the target country. Dependent variable is *Sovereign Exposure*, defined as a dummy variable indicating any positive exposure of a bank toward a target country at a point in time reported in EBA and CEBS disclosures. *Bank-level Trust Bias* is computed for each bank–target-country pair as the branch-weighted average (see equation (2)) of the residuals from a gravity model of trust (see equation (3)), where trust is defined as the portion of individuals in home country expressing "a lot of trust" toward target country, measured via Eurobarometer surveys. *Bank Branches* measures the number of bank branches (in thousands) that the bank owns in the target country. All branch-related information is from SNL Financial. For the detailed construction of the data, see Section 3. Robust standard errors are clustered at the bank level and reported in brackets. *Significant at 10%; **significant at 5%; ***significant at 1%.

Including the number of bank branches does not affect the results in Table 2, as noted. Still, it is possible (despite our parametric controls) that a measure of bank-specific trust bias based on bank branches is picking up not the effect of trust but, rather, financial linkages with the target country of potential investment owing to branch presence. Relatedly, the same factors that convince a bank to expand its branch network to a country may lead it to purchase more debt of that country. Or financial linkages may operate through moral suasion: Italian officials may pressure a German bank with Italian branches to purchase Italian government debt. Table 3 therefore excludes target countries where a bank has any branch presence, shutting down this potential channel.[39] These estimates compare banks headquartered in the same country with regard to the same target country of investment, but only when none of the banks in question has branch presence in that target country. The estimated effect is larger, not smaller. Insofar as a bank's decision to expand its branch network to a foreign country is orthogonal to its investment in the government bonds of third countries, the results point to a causal relationship between bank-level trust and sovereign exposures.

The fact that banks operate in multiple countries may not only lead them to adopt the cultural traits of these host countries but also help them to establish financial, informational, political or other types of linkages via their host countries

39. Note that this includes all types of bank presence in a country whether it is via subsidiaries or single branches.

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to other target countries. Including country-pair-level fixed effects does not rule out the possibility, for example, that banks combine information from multiple countries and that branch networks play a role in aggregating financial information, just as they do in aggregating cultural stereotypes. In Table 4, we therefore construct measures of such indirect linkages at the bank–target-country level, focusing on branch penetration, historical merger activity, media coverage, political closeness, geographical distance, commonality of legal origins, religious similarity and social media (i.e., Facebook) connections between host and target countries.[40] We construct these proxies in the same way as for bank-level trust bias, using a weighted average of host-country characteristics to aggregate at the bank–target-country level (à la equation (2)). None of these variables is statistically significant when included as a control in Table 4. Estimates of bank-level trust bias and their statistical significance are stable across models, consistent with the view that branch networks are not providing indirect financial or other types of relationships with target countries but rather that they are specifically transmitting cultural stereotypes from their host countries, which in turn influence bank headquarters' sovereign lending decisions.

The EBA provides the maturity breakdown of banks' sovereign exposures for each target country for a subset of banks and disclosure dates. By using this information, we construct separate dependent variables in Figure 3 corresponding to seven distinct terms to maturity and study how trust shapes the maturity structure of sovereign debt holdings. Panel A (B) for the full sample (foreign subsample) documents the consistent role that trust plays across maturities. However, differences between the estimates for the longest and the shortest maturities are positive and significant at conventional levels, meaning trust is a more important driver of long-term bank lending. These results suggest that trust tilts banks' sovereign portfolios toward the longer end of the maturity structure. Intuitively, when trust is high, banks are more inclined to make long-term commitments. When it is low, they prefer the option value of exiting without losses and therefore are more inclined to hold short-maturity debt.

5.2. Genetic and Somatic Distance as Instruments for Trust

We have shown that the relationship between bilateral trust and sovereign exposures is stable over time and that our results carry over when removing crisis periods during which bond market conditions could conceivably impact trust. Still, one may question whether trust is truly exogenous with respect to bond market conditions. Following Guiso et al. (2009) and Ahern et al. (2015), we therefore instrument cultural trust with

40. These variables are frequently used in gravity models of international economic exchange. See, for instance, Guiso et al. (2009) for media coverage, commonality of legal origins, and religious similarity; Portes and Rey (2005) and Saka (2020) for branch penetration and historical merger activity; Fisman et al. (2022) for political relationships; Pursiainen (2022) for social media connections; and countless other papers for geographical distance. As Online Appendix Table C.13 shows, all but two (legal origin and religious relationships) of these variables have the expected sign and are statistically significant when included in a specification that excludes bank-level trust bias.

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TABLE 4. Bank-level trust bias and probability of sovereign exposure when controlling for bank-level relationships with target country.

Outcome →	(1) Sovereign exposure	(2) Sovereign exposure	(3) Sovereign exposure	(4) Sovereign exposure	(5) Sovereign exposure	(6) Sovereign exposure	(7) Sovereign exposure	(8) Sovereign exposure	(9) Sovereign exposure
Bank-level trust bias	1.562***	1.638***	1.732***	1.381***	1.371***	1.287***	1.309***	1.290***	1.121**
	[0.310]	[0.368]	[0.384]	[0.460]	[0.467]	[0.458]	[0.442]	[0.451]	[0.491]
Bank-level branch relationship		−0.004	0.000	−0.004	−0.010	−0.012	−0.013	−0.013	−0.008
		[0.009]	[0.012]	[0.014]	[0.015]	[0.014]	[0.015]	[0.014]	[0.016]
Bank-level merger relationship			−0.370	−0.447	−0.418	−0.396	−0.402	−0.366	−0.272
			[0.641]	[0.609]	[0.642]	[0.622]	[0.620]	[0.638]	[0.642]
Bank-level media relationship				0.496	0.472	0.394	0.359	0.394	0.174
				[0.358]	[0.360]	[0.383]	[0.381]	[0.393]	[0.508]
Bank-level political relationship					0.929	0.872	0.827	0.844	0.786
					[0.806]	[0.806]	[0.790]	[0.769]	[0.766]
Bank-level distance relationship						−0.071	−0.084	−0.079	−0.074
						[0.088]	[0.093]	[0.091]	[0.090]
Bank-level legal origin relationship							−0.048	−0.051	−0.028
							[0.059]	[0.061]	[0.066]
Bank-level religious relationship								0.042	0.085
								[0.244]	[0.263]
Bank-level social media relationship									0.037
									[0.048]
Control for bank-level branches	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Control for bank-level branches (squared)	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Bank × time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Home-country × target-country × time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Observations	21,615	21,615	21,615	21,615	21,615	21,615	21,615	21,615	21,615

Notes: The table summarizes the results of equation (1) estimated over the full sample period from 2010-Q1 to 2021-Q2. Dependent variable is *Sovereign Exposure*, defined as a dummy variable indicating any positive exposure of a bank toward a target country at a point in time reported in EBA and CEBS disclosures. *Bank-level Trust Bias* is computed for each bank–target-country pair as the branch-weighted average (see equation (2)) of the residuals from a gravity model of trust (see equation (3)), where trust is defined as the portion of individuals in home country expressing "a lot of trust" toward target country, measured via Eurobarometer surveys. For the detailed construction of the data and other variables, see Section 3 and Online Appendix A. Robust standard errors are clustered at the bank level and reported in brackets. *Significant at 10%; **significant at 5%; ***significant at 1%.

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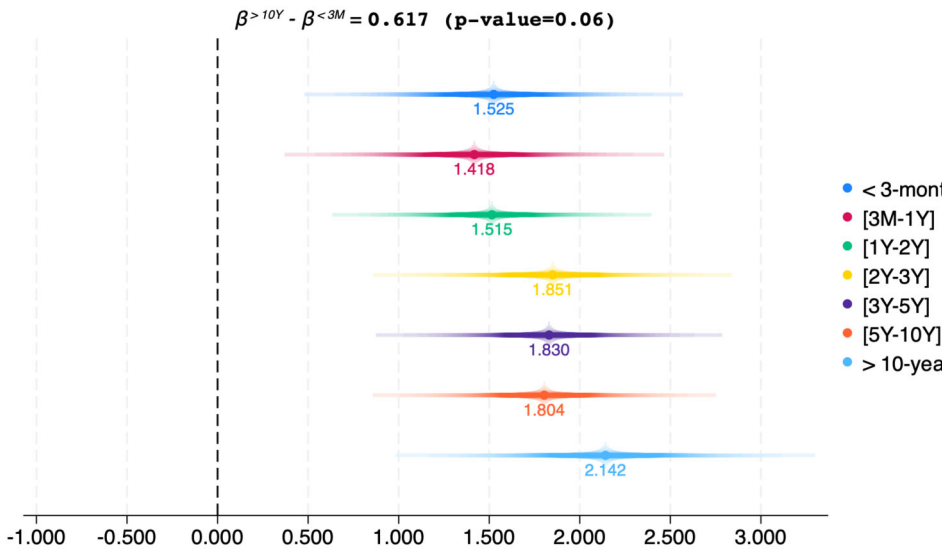
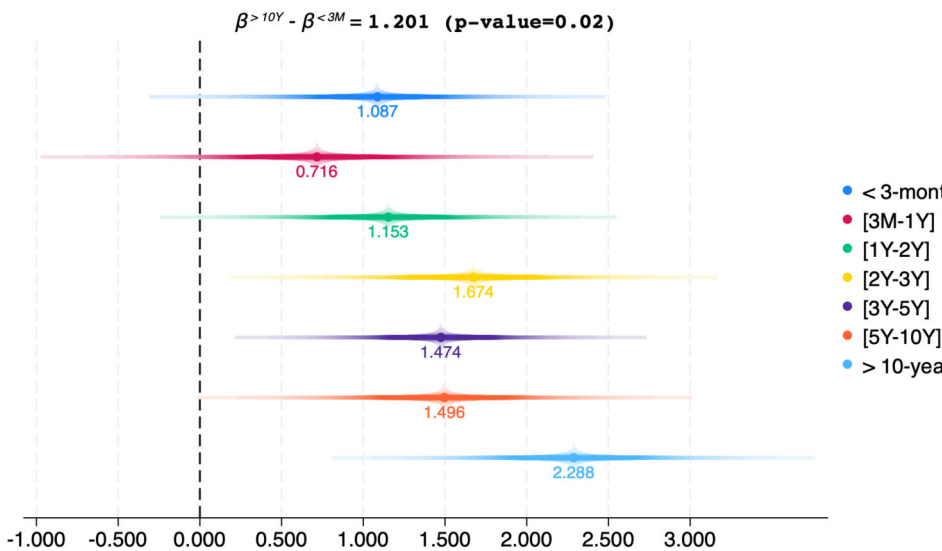


(a) Full sample



(b) Foreign target countries

FIGURE 3. Bank-level trust bias and probability of sovereign exposure with different maturities. This figure shows estimates for the coefficient of *Bank-level Trust Bias* separately estimated for seven distinct maturities of sovereign debt. Dependent variable is the probability of sovereign exposure and the specification is column (5) of Table 2. Confidence intervals are at 95% significance level. Source: EBA, CEBS, Eurobarometer, and SNL Financial.

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